



Coming Up with Your Idea

Every business begins with an idea, whether to solve a problem or improve an existing product or service. It is an exciting first step, although you must also ensure that your idea is viable.

Finding a good idea

A business idea does not have to be new, but it must satisfy a need in order to succeed. Start by thinking about problems you have encountered yourself, such as not being able to buy a certain product or access a useful service. This may be a gap in the market (see pp.20–21) that you could fill. Alternatively, where products and services are available—but are unsatisfactory—this could be an opportunity for you to improve them and offer something better.

When looking for a good idea, consider what existing businesses currently offer and what they do not—which could pose an opportunity. Also look out for niche or specialty markets, where you could meet the demands of a small but dedicated group of customers (see pp.38–39).

Researching markets

Markets are made up of people with common demands, so learning what interests and concerns them is valuable information. Pay close attention to the media, especially online, and look out for growing trends that you could tap into. Depending on the market that interests you, joining relevant internet forums can give you a useful insight into members' needs, desires, and

problems. Ask questions and seek opinions, and discuss your idea with the people who may become your customers one day.

Another source of useful information are online trade journals, which most industries publish. Here, you can learn about developments, trends, and how well potential rivals are performing and gain essential knowledge that can help shape your ideas.

Will your idea work?

In order for your idea to succeed, it needs to be achievable and viable. Scrutinize it from all angles and question every aspect of it, as well as your ability to make it happen. Consider how it might be affected by market changes. Identify its strengths and how you could build on them, while also resolving any weaknesses. Also, try to predict any threats and how you might overcome them, while making the most of any new opportunities.



CASE STUDY

Honest Tea

Seth Goldman first had the idea for a low-calorie beverage while working on a case study of the drinks industry at Yale, noting there were sugary drinks and bottled water on the market, but nothing in between. After a run in New York's Central Park, he could not find a suitable drink to buy. Goldman saw a problem and came up with a solution: in 1998 he co-founded Honest Tea, making organic, not-too-sweet, bottled teas, which became a market leader.

Using a checklist

A "good idea checklist" is a widely used tool to help assess the merits of a new business idea. Good ideas usually meet most of these criteria (see right). Once you have your idea, be sure to keep it safe (see pp.96–97).

